

Wilson County Revenue Integrity Program — combined scope, population-scaled pricing, and a procurement frame that travels

Prepared 13 September 2026 for Civvix Inc. Supersedes the pricing in document 09 where the two differ; the three-part logic of 09 (monitoring, findings, leads) is kept, but the fee base moves from sales-tax collections to population so that one schedule prices all three services in every county and city in Tennessee.

0. Rate card v2 (13 Sep, adopted for the Wilson deck) — three units

The tiered program fee in §3 below was replaced by three flat units after the outside review. It is simpler to procure, reads the same in every jurisdiction, and pays for the one thing that costs money (adjudication):

Unit	County	Municipality
Situs monitoring, per resident per year (latest Census estimate)	\$0.60	\$0.30
Adjudicated, packet-ready situs correction (either direction)	\$250	\$250
Double-verified TPP or business-license lead (annual minimum 2,400 — Wilson's current \$24,000 becomes the floor)	\$10	\$5 (license only; TPP n/a)

Wilson County: \$105,020 monitoring + ~150 packets (\$37,500) + 2,400 leads (\$24,000) ≈ **\$166,500 in year one**, ≈ \$135,300 in year two. Against the ROI-slide first year of \$3.1–5.8M: 18–35×

Why \$250 per packet. Competitors price situs only as a percentage of recovery; for a \$5,700-a-year correction over eight quarters that is \$1,700 (HdL 15%) to \$3,400 (Neumo 30%) per corrected registration, and \$5,100–\$10,200 at the county mean. TPP audit firms charge \$300–700 per account *audited* with nothing found. \$250 for an adjudicated, evidence-complete, letter-ready finding is a processing fee, not a bounty: it covers the ~45–60 analyst minutes a packet takes, it is non-contingent, it reads as modest beside the \$500-per-correction the County could never get from a contingency vendor, and it keeps a flat per-resident fee from carrying unlimited adjudication in year one.

Statewide addressable market at these units (TAM, not forecast):

Component	Basis	Annual
County situs monitoring	7,315,076 residents × \$0.60	\$4.39M
Municipal situs monitoring	~4.44M residents inside municipal situs polygons (60.7%, measured from 3.94M rooftops) × \$0.30	\$1.33M
Lead minimums	95 counties × 2,400 × \$10	\$2.28M

Component	Basis	Annual
Recurring packets	~1/6 of first cycle (annexations, new registrations)	~\$0.22M
Recurring total, 100% penetration		≈ \$8.2M / yr
First-cycle packets, one time	$0.31 \times (5,809 \text{ cross-county} + 11,262 \text{ boundary-risk businesses}) \approx 5,300 \times \250	\$1.32M
First-sweep leads above minimum, one time	~281,000 non-filers statewide (38.4 per 1,000 residents, Wilson ratio) $\times \$10$	up to \$2.8M
Recurring lead volume above minimum	~72,000 new formations a year (Wilson ratio) $\times \$10$	up to \$0.72M

A realistic third-year footprint of 30 counties and their cities is roughly \$2.5M recurring plus first-cycle work product, on marginal cost that is a config file and a compute run.

1. What is being bought

One program, three services, one placed universe. Every service runs against the same rooftop-placed map of the county's businesses, which is the thing no competitor has and the reason the three belong in one contract:

Service	Cadence	What the county receives	Statutory hook
Sales tax situs monitoring	Quarterly	Every rooftop re-measured against refreshed DOR situs polygons and certified city limits; the situs roster (pulled by the county from REP) compared to the map inside the county's browser; adjudicated, packet-ready correction letters in both directions; quarterly bulletin; annual calibration report	§ 67-6-712 (situs split), § 67-1-1704(d) (roster to contractor), one-year correction window (DOR practice)
Business license discovery	Annual, with monthly deltas	Active businesses on the map with no county (and, where levied, city) business license; verified leads	§ 67-4-701 et seq.; § 67-4-705 (municipal levy)

Service	Cadence	What the county receives	Statutory hook
		screened against the clerk register and SOS good standing	
Tangible personal property discovery	Annual, with monthly deltas	Licensed or registered businesses with no TPP schedule on file, or zero-dollar schedules; forced-assessment referrals with the evidence packet	§ 67-5-903(c) (forced assessment), § 67-1-1005(a) (three-year reach)

The county keeps 100% of every dollar recovered. There is no contingency on any part of the program.

2. Why population is the right fee base

Document 09 priced monitoring in basis points on local-option collections. That works for situs alone, but it fails the combined program on three counts: collections say nothing about the TPP or license base; every jurisdiction reports collections differently (county, schools, cities, special districts); and a bps fee invites a negotiation about which revenue line counts. Population fixes all three.

Population is public, undisputed (Census Bureau estimate, published annually), the same number for a county and each city inside it, and it tracks all three bases at once: businesses per resident, sales-tax collections per resident, and TPP schedules per resident are stable ratios across Tennessee (roughly 40 licensed businesses, \$350–420 of local-option collections, and 18–20 TPP schedules per 1,000 residents). A per-capita fee therefore scales with what is at risk in every module simultaneously, with no argument about the base, and the schedule below reads the same in Pickett County as in Shelby.

3. The schedule

Part A — Program fee (annual, per resident, tiered, all three services)

Residents	Rate per resident per year
first 25,000	\$1.25
25,001 – 100,000	\$1.15
100,001 – 250,000	\$0.95
250,001 – 500,000	\$0.70
above 500,000	\$0.50
floor	\$18,000

Population = the most recent Census Bureau county (or city) estimate on the contract date, fixed for the term.

County	2025 population	Program fee	Per resident
Pickett	5,219	\$18,000 (floor)	\$3.45

County	2025 population	Program fee	Per resident
Trousdale	12,623	\$18,000 (floor)	\$1.43
Macon	27,663	\$34,312	\$1.24
Anderson	82,066	\$96,876	\$1.18
Wilson	175,033	\$188,781	\$1.08
Sumner	215,538	\$227,261	\$1.05
Montgomery	249,935	\$259,938	\$1.04
Rutherford	386,352	\$355,446	\$0.92
Knox	511,453	\$440,726	\$0.86
Davidson (Metro)	745,904	\$557,952	\$0.75
Shelby	910,226	\$640,113	\$0.70

All 95 counties at this schedule: **\$7.5M a year** (15 small counties at the floor). Cities inside a contracted county at 75% of their own formula (the county-and-cities package from document 09): the 215 municipalities that levy business tax add roughly **\$3M** more at full penetration. A realistic third-year footprint of 30 counties and their cities is about **\$3.5M recurring** before a single finding or lead is billed.

The program fee covers: the quarterly situs re-measurement and roster comparison, the annual license and TPP screens with monthly deltas, the county's own workbench and atlas page, quarterly bulletins, the annual calibration report, and Civvix's hosting, refresh and data-acquisition costs. Nothing in it depends on outcomes.

Part B — Work product (per unit, non-contingent, county decides what to act on)

Unit	Fee	Notes
Situs correction packet, adjudicated and packet-ready, either direction	\$500	first roster in a county Wilson's size: 100–200 packets
Verified business-license lead	\$10	the existing Civvix unit and price; screened before delivery
Verified TPP non-filer / zero-filer referral with evidence packet	\$10	same unit; a referral that is also an unlicensed lead is billed once

The \$10 lead is deliberately kept where the market already knows it: it is the anchor that makes the whole schedule look cheap, and the volume comes from the placed universe rather than from lead-hunting.

Part C — Contingency alternative (offered, never combined with Part B on the same finding)

12% of documented recovery for eight quarters, for jurisdictions that can only buy “free.” Cheaper than HdL (15%), Neumo (30%) and Azavar (up to 50%).

4. What Wilson County pays and gets

	Year 1	Steady state
Program fee (A)	\$188,781	\$188,781
Situs packets (B), ~150	~\$75,000	~\$10–20K (annexations, new registrations)
License + TPP leads (B), ~2,000 year one, ~600/yr after	~\$20,000	~\$6,000
Total	~\$284K	~\$205–215K

Against that:

Value stream	Year 1	Recurring
Situs corrections — protected local option, both halves	\$310–925K (0.5–1.5% of \$61.8M), plus one year back	same, compounding
Business license — county \$15 minimal / standard fees, three back years, penalty	\$30–60K	\$10–20K
TPP forced assessments — 400–800 non-filers × \$600–1,200 presumed tax × 60% acted on	\$150–500K, up to three back years	\$60–150K new
Total	\$0.5–1.5M	\$400K–1.1M
ROI	2–5×	2–5× and compounding

The TPP and license figures use the assumptions already in the Civvix 95-county ROI model (valid-lead rate 70%, non-filer 30% of county-average size, 60% acted on, three-year delinquency mix). Wilson's own numbers from that model: 3,126 TPP returns a year, \$2,086 tax per return, \$681.5M total assessed. The first fifty closed cases replace the slider with a measured figure and the ROI table with a fact.

5. The procurement frame — broad enough for anyone to bid, specified so that only a map-first vendor can perform

Wilson County should not sole-source this. A competitive solicitation is what makes the resulting contract the template every other county copies, and a template Civvix wrote the winning response to. The way to keep it both open and winnable is to describe the *outcome and the standard of proof* rather than the vendor, and to set the standard where the work actually has to be done to be defensible. Any firm may bid; only a firm that has already built a rooftop-level, three-layer, statewide surface can meet the standard on the first day. That is a legitimate specification, not a rigged one — every requirement below is there because a finding that fails it does not survive a challenge from a city or a taxpayer.

Suggested title: *Local Revenue Integrity Services — Sales Tax Situs, Business License and Tangible Personal Property Compliance.*

Scope of services (functional, vendor-neutral):

1. Identify sales tax registrations whose situs code does not match the physical location of the business, in either direction, and produce correction packets suitable for submission to the Tennessee Department of Revenue by the County.
2. Identify businesses operating in the County without a current county business license and, where applicable, without the municipal license.
3. Identify businesses with no tangible personal property schedule on file, or a zero-dollar schedule, with evidence supporting a forced assessment.
4. Deliver all three on a recurring basis for the contract term, with change reporting as boundaries, annexations and registrations change.

Minimum standards of proof (the part that decides who can win):

- *Rooftop placement.* Every business location shall be placed using the address point maintained by the County's 911 addressing authority (NG911 address points), not street-interpolated or third-party geocoding. The vendor shall report the placement distance and the share of addresses that could not be placed.
- *Authoritative boundaries.* Situs determinations shall be made against the Department of Revenue's published sales-tax-rate boundary polygons and cross-checked against the Comptroller's certified municipal boundaries and the 911 authority's jurisdiction attribute. Every finding shall state each layer's determination and the distance in feet to the nearest jurisdictional boundary.
- *Internal consistency check.* The vendor shall compare the Department's published address-range (SST) file against the Department's own polygons and report every address where the two disagree, since those are the addresses most likely to be miscoded by the State itself.
- *Provenance.* Every finding shall carry the source layer, custodian, effective date, coordinate system and a cryptographic hash of the boundary snapshot used, so that a finding can be reproduced against the geometry in force on the date it was made.
- *Both directions.* Findings that move revenue away from the County shall be reported with the same rigor as findings that move revenue to it. The County decides what is submitted.
- *Confidential data handling.* Taxpayer data furnished under T.C.A. § 67-1-1704(d) shall be processed within County-controlled systems or a County-controlled browser session; the vendor shall not store, transmit or retain the situs roster or any derivative that includes taxpayer identity. The vendor shall acknowledge § 67-1-1709 in writing for each individual with access.
- *Cadence.* Re-measurement no less than quarterly, so that no error persists beyond the Department's one-year correction window; license and TPP screens no less than annually with monthly change reports.
- *Calibration.* After each roster comparison the vendor shall report precision and recall of its exception classes against the actual coding, so the County can see the error rate of the method and not just its output.
- *Demonstrated capability.* The bidder shall provide, before award, a working demonstration on public data for Wilson County and for at least two adjoining counties, including the placed universe, the jurisdictional seams and the ranked exception queue, so the County can verify the method before any confidential data is shared.
- *Pricing.* A fixed annual program fee, expressed per resident on the most recent Census estimate; per-unit fees for work product; no contingency on monitoring. Contingency may be offered as an alternative for work product only.

- *Insurance.* Technology E&O and cyber liability of not less than \$1M per occurrence / \$2M aggregate; general liability per County standard.

Every line is a thing Civix does today on the public atlas; the demonstration requirement in particular is satisfiable by handing procurement a link. A conventional tax-consulting firm can bid the outcome and will fail the standard on placement, provenance, the SST cross-check, the zero-custody requirement and the pre-award demonstration — and each of those failures is one the County can point to in an evaluation memo without naming any vendor.

Term: three years, two one-year renewals, price fixed to the population on the contract date and re-based at each renewal. The multi-year term is what makes the first contract lucrative: the program fee is recurring, the findings decay after year one, and the county's cost falls while its protected base grows.

6. How this scales

The unit economics are the point. Civix's marginal cost per county is a config file, a quarterly compute run and a weekly refresh that already runs for all 95; the acquisition cost of the data has been \$0. A per-capita fee means the second county's contract is priced by the same sentence as the first, every city inside it prices itself at 75% of its own line, and the county-and-cities package puts both sides of every intra-county seam inside one client family. At 30 counties the program fee alone is above \$3M recurring, the atlas is the sales deck, and the Wilson RFP is the paperwork every procurement officer asks for and Civix already has.

7. Open assumptions to close before the proposal goes out

- Wilson County's audited local-option collections split (county / schools / cities) — replaces the \$61.8M estimate.
- Active county business licenses (clerk's office) — sets the license-gap denominator.
- Fifty closed TPP cases from any Civix county — replaces the 30% size assumption.
- Whether the County prefers the contingency alternative for Part B; the schedule works either way.